

Corporate Investment and Municipality Finances: Evidence from Data Centers

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Abstract

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[TODO: Abstract. Frame the data-center buildout as the largest corporate-investment shock in modern US public finance, document the elasticity of municipal tax collection to data-center investment, and trace the response across muni capex, debt, ratings, and bond yields.]

1 Introduction

[TODO. Anchor on the first-order claim: data centers represent the largest corporate-investment shock in modern U.S. public finance — projected to reach roughly one-fifth of U.S. capex in 2026 — yet the channel runs almost entirely through property and personal-property taxes rather than wage income, because data centers employ very few workers. We use the S&P 451 Research Data Center Database, county-level financials from ACFRs, and TRACE / MSRB EMMA muni-bond data to estimate the elasticity of municipal tax collection to data-center investment and trace the response across muni capex, debt, ratings, and bond yields. Our identification follows Greenstone et al. (2010)’s winner-vs-loser comparison; the closest existing muni-bond estimate is Chava et al. (2024), who find a 15.2 bps yield-spread effect of corporate subsidies. We extend this in three directions: (i) outcome breadth (multiple fiscal margins, not yields alone), (ii) the rural / poor-county tilt of new data-center construction, and (iii) the risk angle flagged by S&P Global Ratings (2026) — concentration risk and short asset-replacement cycles that may make the property-tax base more volatile than headline numbers suggest.]

2 Data and Sample

[TODO. Five data sources:

- 1. **S&P 451 Research Data Center Database** (have): 23 SAS7BDAT files covering property characteristics, ownership, providers, clients, market geography, infrastructure, and certifications. We use this to identify every U.S. data-center property, its operational status (active / planned / under construction), MW capacity, location, owner, operator, and tenant base.*

2. **Annual Comprehensive Financial Reports (ACFRs):** county-level financial data — revenue by source, expenditures, debt, fund balances. Collection plan in a follow-up note.
3. **TRACE / MSRB EMMA:** muni-bond trade-level data for yield and liquidity outcomes.
4. **NCSL state DC incentive list:** which states offer dedicated DC tax incentives (sales-tax exemption, electricity exemption, property-tax abatement). 38 states as of National Conference of State Legislatures (2026).
5. **Ratings agency reports:** Moody’s 2026 DC credit-risk hub; S&P Global Ratings (2026).

Sample period, US-only filter (applied at the cleaning stage), and treatment of missing geocoding follow Section X.X.]

3 Empirical Strategy

[TODO. Identification borrows from Greenstone et al. (2010) — winner-vs-loser counties for major data-center site selection. Where the runner-up county is observable (RFP processes, public competitions for state incentives), we exploit the discontinuity. Where it is not, we lean on (a) timing variation from announcement to operational status in the S&P 451 panel, and (b) staggered DiD with the heterogeneity-robust estimators (Callaway–Sant’Anna, de Chaisemartin–D’Haultfœuille) given the identification literature post-2020. Key threats: (i) munis seek out DCs (selection); (ii) DC siting correlates with unrelated local fiscal shocks (e.g., other tech investment, energy infrastructure); (iii) tax-incentive deals are themselves outcomes — pre-incentive ATTs are not the right object. We address each in turn.]

4 Results

[TODO. Stylized facts first: replicate the Prince William County, VA, finding — DC personal-property tax revenue grew from \$2.9M (FY13) to \$54.4M (FY22), a 38.4% CAGR, with DCs accounting for 96% of FY22 computer-equipment-and-peripherals personal-property tax revenue (Prince William County, Virginia, 2022) — and characterize how unusual PWC is in our cross-section. Then the elasticity estimates: muni tax collection per dollar of DC capex; pass-through into muni capex / debt / public services; ratings actions; and bond yield / spread responses. Heterogeneity by rural vs urban, poor vs affluent, and pre- vs post-AI-buildout subsamples.]

5 Conclusion

[TODO. Restate magnitude (DCs $\approx 1/5$ of US capex in 2026), uniqueness (capex without labor shock), the cross-county distributional pattern (rural / poor counties bear the brunt of where the shock binds), and the risk angle — concentration risk and short asset cycles (S&P Global Ratings,

2026). *Limitations: tax-incentive endogeneity, ACFR coverage, the post-AI structural break. Open questions for future work: how does the muni response differ between consumer-brand DCs (Apple, Amazon) and AI-pure DCs?]*

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